

Notations :

- 1.Options shown in green color and with ✓ icon are correct.
- 2.Options shown in red color and with ✗ icon are incorrect.

Change Font Color :	No
Change Background Color :	No
Change Theme :	No
Help Button :	No
Show Reports :	No
Show Progress Bar :	No

Managerial Economics

Section Id :	640653139247
Section Number :	1
Section type :	Online
Mandatory or Optional :	Mandatory
Number of Questions :	11
Number of Questions to be attempted :	11
Section Marks :	45
Display Number Panel :	Yes
Section Negative Marks :	0
Group All Questions :	No
Section Maximum Duration :	0
Section Minimum Duration :	0
Section Time In :	Minutes
Maximum Instruction Time :	0
Sub-Section Number :	1
Sub-Section Id :	640653390181
Question Shuffling Allowed :	No

Question Number : 1 Question Id : 6406532136931 Question Type : MCQ

Correct Marks : 0

Question Label : Multiple Choice Question

THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : MANAGERIAL ECONOMICS

(COMPUTER BASED EXAM)"

ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?

CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE TOP FOR THE SUBJECTS REGISTERED BY YOU)

Options :

6406536959824. ✓ Yes

6406536959825. ✗ No

Sub-Section Number :

2

Sub-Section Id :

640653390182

Question Shuffling Allowed :

No

Question Id : 6406532136932 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (2 to 5)

Question Label : Comprehension

The market for paper in southern region in the India is characterized by the following demand and supply curves: $Q_D = 160,000 - 2000P$ and $Q_S = 40,000 + 2000P$, where Q_D is the quantity demanded in 100-pound lots, Q_S is the quantity supplied in 100-pound lots, and P is the price per 100-pound lot. Currently there is no attempt to regulate the dumping of effluent into streams and rivers by paper mills. As a result, dumping is widespread. The *Marginal External Cost (MEC)* associated with the production of paper is given by the curve $MEC = 0.0006Q_S$.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 2 Question Id : 6406532136933 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1.5

Question Label : Short Answer Question

Calculate the output of paper if it is produced under competitive conditions and no attempt is made to monitor or regulate the dumping of effluent. $Q = \underline{\hspace{2cm}}$

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

100000

Question Number : 3 Question Id : 6406532136934 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1.5

Question Label : Short Answer Question

Calculate the Price of paper if it is produced under competitive conditions and no attempt is made to monitor or regulate the dumping of effluent. $P =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

30

Question Number : 4 Question Id : 6406532136935 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1.5

Question Label : Short Answer Question

Determine the socially efficient price of the paper. $P =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

48.7 to 48.8

Question Number : 5 Question Id : 6406532136936 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1.5

Question Label : Short Answer Question

Determine the socially efficient quantity of the paper. $Q =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

62500

Sub-Section Number :

3

Sub-Section Id :

640653390183

Question Shuffling Allowed :

No

Question Id : 6406532136937 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Question Numbers : (6 to 15)

Question Label : Comprehension

Bharat Airlines (BA) flies only one route: Delhi-Chennai. The demand for each flight is $Q=600-2P$. BA's total cost of running each flight includes a fixed cost of 20000 and a variable cost of 90 per passenger.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 6 Question Id : 6406532136938 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What is the profit maximizing price that BA will charge?

Options :

6406536959830. ✖ 90

6406536959831. ✔ 195

6406536959832. ✖ 180

6406536959833. ✖ 390

Question Number : 7 Question Id : 6406532136939 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

How many passengers will be on each flight in equilibrium?

Options :

6406536959834. ✔ 210

6406536959835. ✖ 300

6406536959836. ✖ 420

6406536959837. ✖ 250

Question Number : 8 Question Id : 6406532136940 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What is BA's profit for each flight?

Options :

6406536959838. ✔ 2050

6406536959839. ✖ 2000

6406536959840. ✖ 22050

6406536959841. ✖ 25000

Question Number : 9 Question Id : 6406532136941 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Now, suppose BA realizes that the fixed costs per flight are in fact 25000 instead of 20000. It also finds out that two different types of passengers fly to Chennai. Type A consists of business people with a demand of $Q_A = 520 - 0.8P$ and type B consists of students with a demand of $Q_B = 240 - 0.4P$. BA decides to charge these two types different prices.

The market demand curve will have a kink at

Options :

6406536959842. ✖ $P=240$

6406536959843. ✖ $P=520$

6406536959844. ✖ $P=625$

6406536959845. ✔ $P=600$

Question Number : 10 Question Id : 6406532136942 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

Now, suppose BA realizes that the fixed costs per flight are in fact 25000 instead of 20000. It also finds out that two different types of passengers fly to Chennai. Type A consists of business people with a demand of $Q_A = 520 - 0.8P$ and type B consists of students with a demand of $Q_B = 240 - 0.4P$. BA decides to charge these two types different prices.

The price that BA charge the students is $P_B =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

345

Question Number : 11 Question Id : 6406532136943 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

Now, suppose BA realizes that the fixed costs per flight are in fact 25000 instead of 20000. It also finds out that two different types of passengers fly to Chennai. Type A consists of business people with a demand of $Q_A = 520 - 0.8P$ and type B consists of students with a demand of $Q_B = 240 - 0.4P$. BA decides to charge these two types different prices.

The price that BA charge the business people is $P_A =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

370

Question Number : 12 Question Id : 6406532136944 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

Now, suppose BA realizes that the fixed costs per flight are in fact 25000 instead of 20000. It also finds out that two different types of passengers fly to Chennai. Type A consists of business people with a demand of $Q_A = 520 - 0.8P$ and type B consists of students with a demand of $Q_B = 240 - 0.4P$. BA decides to charge these two types different prices.

Profit maximizing quantity for both groups will be $Q_A =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

224

Question Number : 13 Question Id : 6406532136945 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

Now, suppose BA realizes that the fixed costs per flight are in fact 25000 instead of 20000. It also finds out that two different types of passengers fly to Chennai. Type A consists of business people with a demand of $Q_A = 520 - 0.8P$ and type B consists of students with a demand of $Q_B = 240 - 0.4P$. BA decides to charge these two types different prices.

Profit maximizing quantity for both groups will be $Q_B =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

102

Question Number : 14 Question Id : 6406532136946 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

Now, suppose BA realizes that the fixed costs per flight are in fact 25000 instead of 20000. It also finds out that two different types of passengers fly to Chennai. Type A consists of business people with a demand of $Q_A = 520 - 0.8P$ and type B consists of students with a demand of $Q_B = 240 - 0.4P$. BA decides to charge these two types different prices.

The profit of BA for each flight will be = _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

63730

Question Number : 15 Question Id : 6406532136947 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

Now, suppose BA realizes that the fixed costs per flight are in fact 25000 instead of 20000. It also finds out that two different types of passengers fly to Chennai. Type A consists of business people with a demand of $Q_A = 520 - 0.8P$ and type B consists of students with a demand of $Q_B = 240 - 0.4P$. BA decides to charge these two types different prices.

What is the total consumer surplus? $CS_{total} =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

44365

Sub-Section Number :

4

Sub-Section Id :

640653390184

Question Shuffling Allowed :

No

Question Id : 6406532136948 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (16 to 18)

Question Label : Comprehension

The production function for a product is given by $q = 450KL$. If the price of capital is INR 30 per day and the price of labour is INR 150 per day.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 16 Question Id : 6406532136949 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

What is the cost minimizing quantity of labour and capital respectively for producing 9000 units of output? $L^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

2

Question Number : 17 Question Id : 6406532136950 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

What is the cost minimizing quantity of labour and capital respectively for producing 9000 units of output? $K^* =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

10

Question Number : 18 Question Id : 6406532136951 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

What is the minimum cost of producing 9000 units of output in INR?

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

600

Sub-Section Number : 5

Sub-Section Id : 640653390185

Question Shuffling Allowed : No

Question Id : 6406532136952 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (19 to 22)

Question Label : Comprehension

Consider two investment opportunities in new products: gourmet marmite and gourmet honey. People might either really like or really dislike the gourmet marmite, so it generates a payoff of \$0.5 with 30 percent probability, a payoff of \$1 million with 40 percent probability and a payoff of \$1.5 million with 30 percent probability. The gourmet honey is less likely to either really turn people off or really turn them on, so it has a payoff of \$0.5 million with 20 percent probability, \$1 million with 60 percent probability and \$1.5 million with 20 percent probability.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 19 Question Id : 6406532136953 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

Expected value of first product is _____

NOTE: Enter the exact answer without any extra space in the beginning or at the end.

Response Type : Alphanumeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Set

Answers Case Sensitive : No

Text Areas : PlainText

Possible Answers :

1 million

1million

1000000

Question Number : 20 Question Id : 6406532136954 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1

Question Label : Short Answer Question

Expected value of second product is _____

NOTE: Enter the exact answer without any extra space in the beginning or at the end.

Response Type : Alphanumeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Set

Answers Case Sensitive : No

Text Areas : PlainText

Possible Answers :

1 million

1million

1000000

Question Number : 21 Question Id : 6406532136955 Question Type : MSQ

Correct Marks : 2 Max. Selectable Options : 0

Question Label : Multiple Select Question

Choose the correct alternative(s)

Options :

6406536959857. ✖ The second product is riskier than the first product

6406536959858. ✔ Second product has lower variance than the first product

6406536959859. ✖ First product has a lower variance than the second product

6406536959860. ✔ The first product is riskier than the second product

Question Number : 22 Question Id : 6406532136956 Question Type : MSQ

Correct Marks : 2 Max. Selectable Options : 0

Question Label : Multiple Select Question

A risk-averse decision maker has the utility function

$U(I) = \sqrt{25I}$ where I denotes the payoff of the product.

Choose the correct alternative(s) for this risk averse decision maker

Options :

6406536959861. ✖ Expected utility of investing in gourmet marmite is more than expected utility of investing in gourmet honey

6406536959862. ✔ A risk averse decision maker prefers investing in gourmet honey to investing in gourmet marmite

6406536959863. ✔ Expected utility of investing in gourmet marmite is less than expected utility of investing in gourmet honey

6406536959864. ✖ A risk averse decision maker prefers investing in gourmet marmite to

investing in gourmet honey

Sub-Section Number : 6
Sub-Section Id : 640653390186
Question Shuffling Allowed : No

Question Id : 6406532136957 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (23 to 28)

Question Label : Comprehension

India currently imports all of its palm oil. The annual demand for palm oil by Indian consumers is given by the demand curve $Q=2000-4P$, where Q is quantity of palm oil in thousand litres and P is market price in INR per litre. World producers can harvest and ship palm oil to Indian distributors at a constant marginal cost (=average cost) of INR 50 and Indian distributors can distribute it at a cost of INR 10 per litre. Consider market for palm oil to be competitive.

Indian government is considering a tariff on palm oil import of INR 10 per litre. Answer the given subquestions.

Sub questions

Question Number : 23 Question Id : 6406532136958 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1.5

Question Label : Short Answer Question

If there is no tariff, what is the quantity demanded (in thousand litres) _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

1760

Question Number : 24 Question Id : 6406532136959 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1.5

Question Label : Short Answer Question

If the tariff is imposed, how much a consumer will pay for a litre of palm oil _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

Question Number : 25 Question Id : 6406532136960 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1.5

Question Label : Short Answer Question

What is the new quantity demanded now (in thousand litres)? _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

1720

Question Number : 26 Question Id : 6406532136961 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1.5

Question Label : Short Answer Question

What will be the lost consumer surplus due to the imposed tariff (in thousand INR) _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

17400

Question Number : 27 Question Id : 6406532136962 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1.5

Question Label : Short Answer Question

Tax revenue for the government will be (in thousand INR) _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

17200

Question Number : 28 Question Id : 6406532136963 Question Type : MCQ

Correct Marks : 1.5

Question Label : Multiple Choice Question

Tariff results in

Options :

6406536959870. ✖ Net gain for the society

6406536959871. ✔ Net loss for the society

6406536959872. ✖ Neither loss nor gain

6406536959873. ✖ Cannot compute

Sub-Section Number :

7

Sub-Section Id :

640653390187

Question Shuffling Allowed :

No

Question Id : 6406532136964 Question Type : COMPREHENSION Sub Question Shuffling

Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix

Question Numbers : (29 to 30)

Question Label : Comprehension

Consider the utility function $U(X_1, X_2) = \log X_1 + \log X_2$ and the budget line of the consumer as $2X_1 + 6X_2 = 240$.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 29 Question Id : 6406532136965 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1.5

Question Label : Short Answer Question

Find the optimal bundle of goods 1 and 2 for this consumer. The optimal bundle will consist of $X_1 =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

60

Question Number : 30 Question Id : 6406532136966 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1.5

Question Label : Short Answer Question

Find the optimal bundle of goods 1 and 2 for this consumer. The optimal bundle will consist of $X_2 =$ _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

20

Sub-Section Number : 8

Sub-Section Id : 640653390188

Question Shuffling Allowed : No

Question Id : 6406532136967 **Question Type :** COMPREHENSION **Sub Question Shuffling**

Allowed : No **Group Comprehension Questions :** No **Question Pattern Type :** NonMatrix

Question Numbers : (31 to 34)

Question Label : Comprehension

A monopolist with marginal cost, $MC = 10 + 6Q$, faces a demand curve $P = 20 - 2Q$. Answer the given subquestions based on this information.

Sub questions

Question Number : 31 **Question Id :** 6406532136968 **Question Type :** SA **Keyboard Layout :** Inscript

Correct Marks : 1

Question Label : Short Answer Question

The slope of the marginal revenue curve is _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

-4

Question Number : 32 **Question Id :** 6406532136969 **Question Type :** SA **Keyboard Layout :** Inscript

Correct Marks : 1

Question Label : Short Answer Question

Profit-maximizing price for this monopolist is _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

18

Question Number : 33 Question Id : 6406532136970 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1.5

Question Label : Short Answer Question

Profit-maximizing quantity for this monopolist is _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

1

Question Number : 34 Question Id : 6406532136971 Question Type : SA Keyboard Layout : Inscript

Correct Marks : 1.5

Question Label : Short Answer Question

The price elasticity of demand at the profit-maximizing point is _____

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

-9

Sub-Section Number :

9

Sub-Section Id :

640653390189

Question Shuffling Allowed :

Yes

Question Number : 35 Question Id : 6406532136972 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

What is true about monopolistic competition

Options :

6406536959880. ✓ Firms compete by selling differentiated products that are highly, but not perfectly, substitutable

6406536959881. ✗ Entry and exit are not free in the market

6406536959882. ✗ None of these

6406536959883. ✖ Both Firms compete by selling differentiated products that are highly, but not perfectly, substitutable and Entry and exit are not free in the market

Question Number : 36 Question Id : 6406532136973 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Adverse selection occurs when

Options :

6406536959884. ✖ a person takes more risks that are not known to the life insurance company because he has life insurance

6406536959885. ✔ a person buys life insurance because he has a risky lifestyle that is not known to the life insurance company

6406536959886. ✖ a person is a risk lover

6406536959887. ✖ pregnant women with health insurance make more doctor visits than uninsured pregnant women

Question Number : 37 Question Id : 6406532136974 Question Type : MCQ

Correct Marks : 1

Question Label : Multiple Choice Question

Moral hazard occurs when contracts are written in such a way that

Options :

6406536959888. ✖ the interests of agent and principal converge

6406536959889. ✔ the interests of agent and principal diverge

6406536959890. ✖ agents will wish to maximize the principal's utility

6406536959891. ✖ production and risk-bearing efficiency are achieved